

Fidelity Stock Plan Services — Supplemental Information (2025)

Participant: Nadia Okafor Plans: Brightmoor Analytics Equity Incentive Plan; Halcyon Data Corp RSU Plan

The cost basis reported to the IRS on Form 1099-B for shares acquired through equity compensation does NOT include the ordinary income already reported on your W-2. Use the ADJUSTED basis below on Form 8949 (code B) to avoid being taxed twice.

Sold Lots — Adjusted Basis Detail

Lot	Proceeds	Broker basis	Comp income (W-2)	Adjusted basis
RSU vest 120sh BMA	\$52,000.00	\$38,000.00	\$12,500.00	\$50,500.00
RSU vest 70sh BMA	\$24,000.00	\$9,000.00	\$13,800.00	\$22,800.00
ESPP 90sh BMA	\$18,000.00	\$12,000.00	\$4,200.00	\$16,200.00
Totals	\$94,000.00	\$59,000.00	\$30,500.00	\$89,500.00

Adjusted basis = broker basis + compensation income already taxed on the W-2.

RSU Vesting Calendar (2025) — ties to W-2 Box 14

Restricted stock units vest on schedule; the fair market value at vest is wage income (W-2 Box 1, and listed in Box 14). Brightmoor RSU income \$40,000 + Halcyon RSU income \$30,000 = \$70,000 total, matching the two W-2 Box 14 'RSU' amounts.

Vest date	Plan	Shares vested	FMV/share	Vest value	Shares withheld (tax)	Net shares
02/15/2025	Brightmoor	26	\$425.00	\$11,050.00	10	16
05/15/2025	Brightmoor	24	\$433.30	\$10,400.00	9	15
03/12/2025 (cliff)	Brightmoor	43	\$430.00	\$18,550.00	16	27
Subtotal Brightmoor		93		\$40,000.00	35	58
08/15/2025	Halcyon	40	\$300.00	\$12,000.00	15	25
11/15/2025	Halcyon	60	\$300.00	\$18,000.00	22	38
Subtotal Halcyon		100		\$30,000.00	37	63
TOTAL RSU		193		\$70,000.00	72	121

Shares were withheld (sell-to-cover) at vest to fund tax withholding; that withholding is already included in your W-2 Box 2. Only shares you LATER sold appear on the 1099-B.

ESPP Offering & Purchase History

Employee Stock Purchase Plan: contributions accumulate over each 6-month offering and buy shares at a 15% discount off the lower of the offering-date or purchase-date price. The discount is compensation income reported on your W-2 in the year of a disqualifying disposition.

Offering period	Contributions	Purchase price	FMV at purchase	Shares	Discount (comp)
01/01/2023 – 06/30/2023	\$10,200.00	\$113.33	\$133.33	90	\$1,800.00
07/01/2023 – 12/31/2023	\$10,800.00	\$120.00	\$141.18	90	\$1,920.00
01/01/2024 – 06/30/2024	\$11,400.00	\$133.33	\$156.86	85	\$2,002.00
Lot sold in 2025 (ESPP 90sh)				90	\$4,200.00

The 90 ESPP shares sold on 09/03/2023* carry \$4,200 of compensation income; add it to the broker basis (\$12,000) for an adjusted basis of \$16,200 (see page 1).

Remaining (Unsold) Equity Holdings — Year End

Symbol	Source	Shares held	Cost basis	Year-end price	Market value
BMA	RSU/ESPP (net of sales)	140	\$33,880.00	\$388.10	\$54,334.00
HALC	Halcyon RSU (net)	120	\$21,840.00	\$176.55	\$21,186.00
Totals		260	\$55,720.00		\$75,520.00

These remaining shares are unsold and not on the 2025 1099-B; their basis matters only when sold in a future year. The BMA position is also shown on your brokerage statement.

Methodology, Form 8949 Instructions & FAQ

- RSUs: the FMV of shares on the vesting date is wages on your W-2 (Box 1/3/5) and is your cost basis. Brokers frequently report \$0 or only the shares withheld for taxes, understating your basis.
- ESPP: the purchase-date discount is compensation income; add it to the broker-reported basis.
- Form 8949: enter each equity-comp lot with code B and the negative basis adjustment in column (g) so the previously-taxed wage income is not taxed again as capital gain.
- Worked example (RSU): 120 shares vested at ~\$433 (~\$52,000 of W-2 wages). If the broker reports a \$38,000 basis and you sell for \$52,000, the broker shows a \$14,000 gain — but \$12,500 was already taxed as wages. The adjusted basis of \$50,500 yields the correct \$1,500 long-term gain.
- Disqualifying vs qualifying ESPP dispositions change the split between ordinary and capital income; the amounts above assume the dispositions and basis as reflected on your W-2.